

THE SESSION · POST-CLOSE READ

Yields Sort *the Tape*

A fresh multi-decade high in the 30-year and a full reversal in AI hardware split the market along duration lines rather than growth lines. Dividend Strategy edged SPY and trailed DVY; Growth Portfolio gave back more than its benchmark.

S&P 500 ▼ 0.67%

NASDAQ ▼ 1.33%

DOW ▼ 0.22%

VIX 15.84

BRENT ▲ \$91

DIVIDEND STRATEGY

▼ TRAILED DVY · BEAT SPY

-0.60%

1-DAY

FCI		-0.60%
DVY		+0.41%
SPY		-0.68%

YTD +21.94% vs DVY +18.70% · SPY +13.13%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-2.58%

1-DAY

FCI		-2.58%
IUSG		-1.33%

YTD +18.56% vs IUSG +14.01%

THE SESSION

The market did not sell risk today so much as sort it.

The S&P 500 finished -0.67% and the Dow surrendered only 0.22%, while the Nasdaq Composite fell 1.33% — a spread that says most of what needs saying about where the pressure landed. Per CNBC's session coverage, the 30-year Treasury yield reached a fresh 19-year high, and a broad semiconductor gauge closed down 5.5% as the memory and AI-hardware complex handed back Monday's gains in full. The same outlet reports overseas long ends moving with it, with Japan's 10-year and Germany's 30-year both at multi-year extremes. This is a term-premium event, and the tape has started pricing duration — in bonds and in equity multiples — as one exposure rather than two.

Both sleeves felt it in proportion to what they own. Dividend Strategy closed -0.60%, eight basis points ahead of SPY at -0.68% but behind DVY, which added 0.41% as capital moved toward regulated utilities, staples, healthcare and defense. Lockheed Martin gained 2.31%, Abbott 2.10%, S&P Global 1.87%; Colgate, Church & Dwight and ADP each finished higher. The offset came from the sleeve's industrial and semiconductor-adjacent holdings, where Caterpillar, Lam Research and TE Connectivity all gave up more than four percent. Growth Portfolio closed -2.58% against IUSG at -1.33%, and the arithmetic there is not mysterious: the sleeve carries concentrated positions in AI connectivity, custom silicon and powered digital infrastructure, which is precisely where the day's selling went.

A business built to compound over a decade will occasionally be repriced by what a bond yields this week. Those are not the same question, and only one of them is ours.

It is worth being precise about what did and did not happen. Bitcoin held near \$64,000 and the digital-asset ETFs finished higher — IBIT +0.49%, ETHA +0.28% — while Hut 8 fell 8.23% and MARA 7.77%. The miners did not move with the coin; they moved with the discount rate, because the market values them now on contracted data-center capacity and the cost of capital required to build against it. The same mechanism took thirteen percent out of Credo and unwound the mem-

ory trade. None of it altered a cash flow. Home Depot beat on the quarter and closed higher. Keysight reports after today's bell and the FOMC minutes arrive Wednesday afternoon, either of which may move prices again. What the session did was reprice how far out the market is willing to underwrite growth — a question the long end will keep asking, and one that ownership, patiently held, is built to outlast.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

EIX +3.35%

GROWTH

Regulated utility bid as capital stepped back from merchant power. Southern California Edison's rate-base earnings profile carries far less data-center demand leverage than the independent producers, and the spread showed: Constellation Energy finished -4.09% and Vistra -3.84% in the same session.

LMT +2.31%

DIVIDEND

Defense primes drew a bid with the US-Iran memorandum lapsed and no successor agreement in place. Northrop Grumman and General Dynamics also finished higher; the quarterly dividend of \$3.45 goes ex on September 1.

DECLINERS

CRDO -13.03%

GROWTH

Reversed Monday's 8.82% advance and then some as the AI-connectivity complex sold off. No company-specific development accompanied the move — this is the highest-beta position in the sleeve doing what high-beta positions do when the discount rate moves against long-dated growth.

HUT -8.23%

GROWTH

Bitcoin held near \$64,000 and IBIT closed higher, yet the miners fell hard. The market now values these names on contracted data-center capacity and the cost of capital to build it, which makes them a rate exposure wearing a crypto label. MARA finished -7.77% on the same logic.

HOLDINGS NEWS

Keysight reports fiscal Q3 after today's close. The quarter ended July 31; consensus sits near \$2.48 per share on roughly \$1.75 billion in revenue, against \$1.72 per share a year ago. Management raised the fiscal 2026 outlook to high-twenties revenue growth in May and has sized the AI infrastructure business at roughly \$500-600 million. Shares finished -5.50% into the print, consistent with position-trimming

across the test and measurement complex rather than anything disclosed. We hold the position for the design-and-test franchise, not the quarter.

TE Connectivity goes ex-dividend Friday. The company affirmed its quarterly payout of \$0.78 per share, with ex-dividend and record dates of August 21 and payment on September 11. July's fiscal Q3 delivered record net sales of \$5.16 billion and orders of \$5.7 billion, up 27%

ABT +2.10%

DIVIDEND

Healthcare led the defensive rotation, with Johnson & Johnson the Dow's strongest component. Abbott's device, diagnostics and nutrition mix is the sort of earnings stream capital tends to reach for when it is stepping down the multiple ladder.

OKE +1.84%

GROWTH

Midstream held firm with Brent near \$91 and Washington signaling a prolonged posture on Iranian export flows. Chevron added 1.50% on the same read; energy was one of the few sectors to finish green.

MRVL -7.82%

GROWTH

The memory and custom-silicon complex gave back Monday's gains in full. Per CNBC's session coverage, Western Digital, SanDisk and Seagate all fell sharply alongside; a broad semiconductor gauge closed down 5.5%.

TEL -5.71%

DIVIDEND

Connector and sensor exposure to hyperscale data networks pulled the shares down with the hardware complex, despite a record order book reported in July. The \$0.78 quarterly dividend goes ex on August 21.

CAT -4.63%

DIVIDEND

The Dow's second-heaviest weight, and per Motley Fool's session tally it removed roughly 255 points from the index on its own. The multiple is rich after a twelve-month advance above 100%, which is precisely the kind of position a term-premium move tests first.

year over year. The shares have spent the summer trading well below where those orders would suggest — a gap we are content to be paid to wait out.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.94%

vs DVY +18.70% / SPY +13.13%

GROWTH PORTFOLIO

+18.56%

vs IUSG +14.01%